

APPENDIX-1

PROPOSED CONSTITUENCY DEVELOPMENT FUND APPROVAL CHECKLIST

Date : District: Constituency:

NO.	COMPONENT	CHECK LIST/ GUIDING PRINCIPLE FOR CDFCs	TICK	COMMENT
1.	EMPOWERMENT LOANS	Minutes of the WDC signed by chairperson and secretary lists of recommended applicants signed on each page		
2.		Quorum attained during the WDC meeting		
3.		Resolutions provide guidance on recommendation made		
4.		Total number of applicants		
5.		Certificate of Registration of business		
6.		Articles of Association/ Bylaws		
7.		Green NRC Copies of Directors		
8.		Business Profile indicating:		
9.		• Management Structure		
		• Membership Structure		
		• Sector focus		
		• Years in the business sector		
		• Modes of generating revenue		
		• Revenue generated monthly		
10		Latest Tax Clearance Certificate		
11		Board Resolution/Minutes to borrow		
12		Type of projects proposed		
13		Cash flow projections (CFPs) month on month projections tenures not exceeding 1 year; year on year for others		
14		Latest bank statement or mobile banking account statement		
15		Proof of Income i.e. Cash sales		
16		Proof of future earnings i.e. signed contracts with offtakers		
17		Amount currently owed by applicant if any		
18		Number of jobs to be created		

Prepared by: _____ Checked by: _____

Signature: _____ Signature: _____

Recommendation: APPROVED/NOT APPROVED**Reason/s:**

APPENDIX-2

MINISTRY OF LOCAL GOVERNMENT AND RURAL DEVELOPMENT

2023 Constituency Development Fund Sub-Allocations

S N	ITEM	AMOUNT	PERCENTAGE
	2023 Constituency Allocation	K28, 313, 902.01	100%
1.	Administrative Cost	K1, 415, 695.10	5%
2.	Community Projects	K16, 138, 924.00	60%
2.1.	<i>Community Projects [95% of 60%]</i>	<i>K15, 331, 977.94</i>	
2.2.	<i>Disaster [5% of 60%]</i>	<i>K806, 946.21</i>	
3.	Empowerment Fund	K5, 397, 641.38	20%
3.1.	<i>Grants [40% of 20%]</i>	<i>K2, 151, 856.55</i>	
3.2.	<i>Loans [60% of 20%]</i>	<i>K3, 227, 784.83</i>	
4.	Boarding Secondary School and Skills Development Bursaries	K5, 397, 641.38	20%

APPENDIX-3



Ministry of Local Government and Rural Development

**CONSTITUENCY DEVELOPMENT FUND
LOAN APPLICATION FORM
FOR
YOUTH, WOMEN AND COMMUNITY
EMPOWERMENT**

Instructions: This application form should be completed by the applicant and sent together with supporting documents to the Chairperson, Ward Development Committee.

NOTE: *This form is not for sale.*

Disclaimer: *Completion of the form does not guarantee the award of the Loan*

Project Identification Number: (for official use)	YE/Zone/Ward Code Number WE/Zone/Ward Code Number CE/Zone/Ward Code Number
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SECTION A. GENERAL DETAILS (TO BE COMPLETED BY THE APPLICANT)

1. Name of Business/Organisation/Company/Group/Cooperative/ Club

.....

2. Legal form of applicant (Limited Company (SME)/Group /Cooperative/Club:

.....

3. Date of Company/Group/Cooperative/Club Registration:

4. TPIN:

5. Shareholders of the Company/Members of a Group/Cooperative/ Club

S/No.	Full Names	NRC/ Passport No.	% share holding (applicable to a company)	Position in the Business	Physically Challenged (Disabled)	
					Yes	No

5. Authorized Representative

(To act on behalf of the Applicant and respond to any questions regarding the application)

Name of Contact Person		
Position in the Business		
Contact Number(s)	Cell:	Telephone:
Email		

6. Project Location:

(a) **Name of District**.....

(b) **Name of Constituency:**

(c) **Name of Ward**

(d) **Name of Zone**

(e) **Physical address**

.....

SECTION B: DETAILS OF LOAN APPLICATION

1. Loan application amount (in figures and words):.....

.....

.....

2. Description of business (e.g. Pottery, Piggery, Carpentry, Tailoring, Metal Fabrication etc.):

.....

3. Indicate whether the Company/Cooperative/Club is an existing one or a start-up:

4. Purpose of the loan (e.g. To start or expand a Pottery business, buy sewing machine, to buy metal fabrication equipment etc.)

.....

.....

5. Repayment period (time period for paying back the loan:.....)

6. Source of funds for repayment of Loan: (funds realized from the business and any other source):

.....

7. Collateral if any (e.g. assets such as land, equipment etc):.....

.....

8. Financials

(a) Breakdown of Capital Expenditure of Business Proposal

	Description of cost	Quantity	Unit Cost (K)	Total Cost (K)
	Total			

(b) Projected level of production

S/No.	Description of product	Quantity														
		Year 1/Months												Y2	Y3	Y4
		M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12			

(c) Sales Projections for the duration of the loan in years

S/No.	Description of product	Sales Quantity													Unit Price (K)				Total Sales (K)			
		Year 1/Months												Total Y1	Y1	Y2	Y3	Y4	Y1	Y2	Y3	Y4
		M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12									
															Total Sale (K)							

(d) Projections of total operating costs for the duration of the loan

S/No.	Description of costs	Operating costs (K)												Total Costs (K)			
		Year 1/Months												Y1	Y2	Y3	Y4
		M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12				
														Total Sale (K)			

(e) Financial data of current business operations where applicable*Please provide Financial data for your business*

(a) What is the monthly revenue of the current business? If any	K
(b) What is the Total operating costs of the current business?	K
(c) What is the Total Net Profit of the current business?	
(d) How much have you invested in the current business? (e) Provide a breakdown of current investment eg. Land Assets: equipment Vehicles, tractors	K

(f) Previous CDF Funding

(a) Is Applicant or any of its shareholders/ members already beneficiary of a Loan or Grant under CDF Empowerment Fund?	Yes ☐	No ☐
(b) If Yes give details:		
(c) Status of Loan (outstanding/repaid)		
(c) Name of Business/Cooperative/Club		

9. Proposed Management Team

No.	Full Name	Management Position	Management Qualification and Experience

10. Business benefits/ impact on the following:

a) Customers						
b) Suppliers						
(c) E m p l o y m e n t (Number of workers)		Women	Men	Total	Of which	
					Youth	Physically Challenged (Disabled)
	Before CDF Funding					
	After CDF Funding					

11. Capital Threshold and Repayment Period

S/No.	ZMW	REPAYMENT PERIOD	TICK SELECTED OPTION
1.	5,000 – 10,000	12 months	
2.	10,001 – 25,000	18 months	
3.	25,001 – 50,000	24 months	
4.	50,001 – 100,000	36 months	
5.	100,001 – 200,000	48 months	

Note: The loans are to be repaid in within the agreed period and recovery efforts will be initiated should the borrowers not pay back the loan.

12. Project Implementation

If you are funded, when would operations start? (Tick where applicable)			
Within 1 - 3 months		Within 6 - 9 months	
Within 3 - 6 months		More than 9 months	

SECTION C: BANK DETAILS OF APPLICANT

Provide Bank account or mobile money wallet registered for your Company /Group/ Cooperative/Club:

Bank Name

Branch.....

Sort/Branch Code.....

Swift Code.....

Account Number.....

Tpin

Mobile Money Wallet Name and Number.....

SECTION D: APPLICANT DECLARATION

We the undersigned, declare that the information given herein is correct to the best of our knowledge and we will take full responsibility for the repayment of the loan and in the event of abuse and mismanagement, of the funds provided under this Empowerment Fund.

Company/Group/ Cooperative/Club Secretary

Full Names:

Signature:.....

Date:.....

Witness:

Head of the business/Company Director/Group/ Cooperative/Club Chairperson or shareholder/member:

Full Names:

Signature:.....

Date:.....

SECTION E: APPROVAL PROCESS**1. Recommendation by the Ward Development Committee****Recommended/Not Recommended/Deferred****Reasons:**.....
.....
.....**Name (Chairperson):****Sign:****Date:****2. Decision by the Constituency Development Fund Committee****Supported/ Not supported.....****Reasons:**
.....
.....**Name (Chairperson):****Sign:****Date:****3. Recommendation by the approved Financial Institution****Recommended for approval/ Not Recommended for approval:.....****Reasons:**
.....
.....**Full Names :****Sign:****Date:**

4. Signing of CDF Loan Agreement

The approved Loan Application will only become effective once the Loan Agreement has been signed and witnessed by both parties.

SECTION F: CHECKLIST OF REQUIREMENTS TO BE ATTACHED TO LOAN APPLICATION

S/No.	Description of documents to be attached copies	Tick
1.	Valid Certificate of Company/Group/ Cooperative/Club Registration	
2.	Green National Registration Cards for Company shareholders/Members of Groups/ Cooperatives/Clubs	
3.	Proof of Active Bank Account/Mobile Wallet	
4.	Constitution of the Company /Group/ Cooperative/Club	
5.	Copy of Signed Minutes	
6.	Proof of property ownership/lease/consent agreement (Where Applicable)	
7.	Recommendation letter from a Civic /Religious /Traditional Leader /Bank Manager	
8.	Taxpayer Identification Number (TPIN)	

APPENDIX-4



REPUBLIC OF ZAMBIA

CONSTITUENCY DEVELOPMENT FUND (CDF)

LOAN AGREEMENT FORM

This **LOAN AGREEMENT**, is made this ----- day of ----- 20----, **between**
----- (hereinafter known as "BORROWER") of address: --
----- in Ward
----- Constituency ----- and ----- (hereinafter
known as "**LENDER**").

The **LENDER** and **BORROWER** shall collectively be known herein as "Parties." In determining the rights and duties of the Parties under this **LOAN AGREEMENT**, the entire document must be read as a whole.

The Lender agrees to give loan funds/material/equipment worth K-----
----- on loan basis to the Beneficiary for purposes of venturing into-----
-----Business as contained in the application form.

Therefore, the Beneficiary accepts the Terms and Conditions of the said loan amounting to ----- (Amount in Words) -----
----- (Amount in Figures) at 5% minimal simple interest rate.

LOAN TERMS AND CONDITIONS

The **BENEFICIARY** and **LENDER** hereby set further forth their rights and obligations to one another under this **LOAN AGREEMENT** and agree to be legally binding as follows: -

a) Payback Period

The payback period for the loan shall bemonths.

b) Loan Repayment

- i. The first payment shall be 60 days from the date of getting the loan;
- ii. The subsequent instalments shall be paid at the end of the month;

- iii. Delayed payments shall not exceed 5 days after the end of the month; and
- iv. Payments made after 5 days shall attract a charge 2% of the instalment amount

c) Repayment Method

The Borrower shall deposit the loan repayment by way of monthly instalments through;

- i. Bank Account.....
- ii. Mobile Money.....
- iii. E-Wallet.....

The Borrower shall be responsible to ensure that repayments are made to the correct Bank Account or Mobile number.

d) Ownership of Equipment and Machinery using this Fund:

- i. All Equipment and Machinery bought using this facility shall be vested in the name of the LOCAL AUTHORITY;
- ii. All Equipment and Machinery bought using this facility shall be registered in the name of the Local Authority; and
- iii. Ownership shall NOT be transferred to the LOAN BENEFICIARY until the loan amount is fully paid.

e) Repayment for Equipment:

- i. The first payment shall be made 60 days from the date of getting the loan;
- ii. The subsequent instalments shall be paid at the end of the month;
- iii. Delayed payments shall not exceed 5 days after the end of the month;
- iv. Payments made after 5 days shall attract a charge 2% of the instalment amount;
- v. Neglecting to pay the loan instalments for any reason for three consecutive months, shall result in termination of the agreement;
- vi. Following the termination of the agreement:
 - a. The equipment shall be recovered from the borrower within seven (7) days;
 - b. The borrower shall forfeit the initial deposit and other payments made before the termination of the agreement; and
 - c. The borrower shall be blacklisted on the Constituency list for 5 years.

SIGNED BY..... (Name)

(FOR AND ON BEHALF OF THE FINANCIAL INSTITUTION)

Full Name of Financial Institution:

Date:

Signature:

Position.....

1. IN THE WITNESS OF:

Full Name:

Date:

Signature:

Designation:

2. IN THE WITNESS OF:

Full Name:

Date:

Signature:

Designation:

SIGNED BY..... (APPLICANT)

Full Name:

Date:

Signature:

1. IN THE WITNESS OF

Full Name:

NRC Number:

Date:

Signature:

Designation:

Ward Development Chairperson/ Area Councillor

2. IN THE WITNESS OF

Full Name:

NRC Number:

Date:

Signature:

APPENDIX 5

MINISTRY OF LOCAL GOVERNMENT & RURAL DEVELOPMENT

PROVINCIAL ADMINISTRATION

TAC

LOCAL AUTHORITY

BANK

WDC

THE COMMUNITY

Key

- All Applications (Blue)
- Applications for Empowerment Loans (Brown)
- Periodic Reports (Green)
- Notification of Approval (Yellow)
- Community Projects (Purple)
- Guidelines (Red)

TAC: Technical Appraisal Committee
WDC: Ward Development Committee

